

25NWCV03816 25NWCV03816

County: los-angeles

Division: Civil Law and Motion

Department: SED

Hearing date: 2026-07-02

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Case Number: 25NWCV03816 Hearing Date: July 2, 2026 Dept: SED

VANESSA A. ARAUJO, ET AL.

V. GENERAL MOTORS LLC

CASE NO.: 25NWCV03816

HEARING: 07/02/2026 @ 9:30 a.m.

#8

TENTATIVE ORDER

Defendant General Motors LLC's
demurrer is OVERRULED.

Defendant General Motors LLC's
motion to strike is GRANTED WITH LEAVE TO AMEND.

Plaintiffs Vanessa A. Araujo
and Daniel Picazo shall file and serve a First Amended Complaint within 30 days
of notice of this ruling.

Moving party to give notice.

Defendant General Motors LLC
(Defendant) demurs to the Complaint filed by Plaintiffs Vanessa A. Araujo and
Daniel Picazo (collectively, Plaintiffs).

Defendant also moves to strike

portions of Plaintiffs' Complaint.

Background

This is a lemon law action. On October 27, 2025, Plaintiffs filed the operative Complaint against Defendant and Does 1 through 10, inclusive, asserting five causes of action: (1) Violation of Subdivision (d) of Civil Code Section 1793.2; (2) Violation of Subdivision (b) of Civil Code Section 1793.2; (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2; (4) Breach of Implied Warranty of Merchantability; and (5) Fraudulent Inducement—Concealment.

Legal Standard

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. *¿* (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

Plaintiff is only required to allege ultimate facts, not evidentiary facts. (See Committee on Children's Television, Inc. v. General Foods Corp. (1983)

35 Cal.3d 197, 212 [“the complaint should set forth the ultimate facts constituting the cause of action, not the evidence by which plaintiff proposes to prove those facts”]; 1 Cal. Affirmative Def. § 10:2 (2d ed.) [allegations of agency, course and scope of employment, etc. qualify as ultimate facts].) Plaintiff’s allegations must be accepted as true on demurrer. (See *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 924 [“For purposes of reviewing a demurrer, we accept the truth of material facts properly pleaded in the operative complaint”].)

Meet and Confer

Code of Civil Procedure section

430.41, subdivision (a) requires the moving party to meet and confer “in person, by video conference, or by telephone” in an attempt to resolve a demurrer’s deficiencies five days before the responsive pleading is due. (Code Civ. Proc. § 430.41(a)(2).)

The Court finds that Defendant has fulfilled the meet and confer requirement.

(Goh Decl., ¶¶ 2-3.)

Demurrer

Defendant demurs as to the fifth cause of action for Fraudulent Concealment asserted in Plaintiffs’ Complaint on the grounds that (1) it fails to allege facts sufficient to state a cause of action under section 430.10(a) of the Code of Civil Procedure, and (2) it is barred by the Economic Loss Rule and Independent Tort Principle. (Notice p. 2.)

“[T]he elements of a cause of action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) “Fraud must be pleaded with specificity... [t]o withstand a demurrer, the facts constituting every element of the fraud must be alleged with particularity, and the claim cannot be salvaged by references to

the general policy favoring the liberal construction of pleadings. (Goldrich v. Natural Y Surgical Specialties, Inc. (1994) 25 Cal.App.4th 772, 782.) "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.)

Sufficiency of Allegations

Defendant argues that Plaintiffs' allegations fails to allege with particularity the defect Defendant allegedly concealed and that Plaintiffs fail to identify by name who made the alleged omissions when they purchased the Subject Vehicle. (Motion p. 9.)

In Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 844, the Court found that Plaintiff's allegation that the "CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function" to be sufficient. (Id.) Here, Plaintiffs allege that, "Plaintiffs are informed and believe, and based thereon allege, that the 3.0L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine (the "Engine Defect"). (Complaint ¶ 47.) Plaintiff clearly pleads the Subject Vehicle contained an "Engine Defect."

Defendant also relies on the general rule for pleading fraud against a corporation, which requires a plaintiff to allege the identity of the speaker, their authority, to whom they spoke, what they said, and when it was said. (See, e.g., Tarmann v. State Farm Mut. Auto Ins. Co. (1991) 2 Cal.App.4th 153, 157.) However, this rule applies differently when the claim of fraud is based upon an assertion of fraudulent concealment. (Alfaro v. Community Housing Improvement System & Planning Association, Inc. (2009) 171 Cal.App.4th 1356, 1384 ["How does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?"].) Instead, such details, in the context of a fraudulent concealment claim, "are properly the subject of discovery, not demurrer." (Id. at 1384-85.)

With the exception of Defendant's challenge to the existence of a duty to disclose, the Court finds the Complaint

adequately pleads the remaining elements of fraudulent concealment. Specifically, the Complaint alleges that Plaintiffs entered into a warranty contract with Defendant (Complaint ¶ 6), Defendant knew certain material facts (i.e., the 3.0L Engine Defect) prior to Plaintiffs purchasing the Subject Vehicle and intentionally withheld such facts from Plaintiffs (Id. at ¶¶ 51, 53, 57), Defendant had superior and exclusive knowledge of such facts (Id. at ¶¶ 56, 57-59), Plaintiffs relied on the non-disclosure (Id. at ¶¶ 54, 55, 61), and damages (Id. at ¶¶ 55, 61).

The Court finds such allegations are adequate, and the demurrer may not be sustained on particularly grounds.¿

Duty
to Disclose

Defendant also argues that Plaintiffs failed to allege facts to establish duty to disclose. (Motion pp. 9-12.)

When a duty to disclose is based on exclusive knowledge, such exclusive knowledge “presuppose a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (Rattagan v. Uber Technologies, Inc. (Rattagan) (2024) 17 Cal.5th 1, 40, internal quotations and citations omitted.) “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Ibid., citing Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312.)

Firstly, the Court acknowledges Plaintiffs' reliance on authority suggesting that direct privity is not required for a duty to disclose. (See OCM Principal Opportunities Fund, L.P. v. CIB World Markets Corp.¿(2007)¿157 Cal.App.4th 835, 859 [holding a vender “has a duty to disclose material facts not only to the immediate purchasers, but also to subsequent purchaser when the vendor has reason to expect that the item will be resold”].)¿¿

Regardless, the Court need not resolve the scope of those authorities because Plaintiffs allege a direct

contractual relationship with Defendant arising from the express warranty. (Complaint ¶ 6.) Under Rattagan, a contractual agreement

constitutes the type of preexisting relationship that may support a duty to disclose. (Rattagan, supra, 17

Cal.5th at 40.) The relationship arising

from the Warranty provided by Defendant specifically to Plaintiffs, and not merely to the general public, constitutes a sufficient transaction supporting a duty to disclose. (See Scherer v. FCA

US, LLC (S.D. Cal. 2021) 565 F.Supp.3d 1184, 1194 [discussing the Bigler-Engler case and holding that a duty to disclose was properly grounded in the parties' contractual relationship reflected in the warranty agreement].)

Accordingly, the Court finds

Plaintiffs have adequately alleged a preexisting transactional relationship sufficient to support Defendant's alleged duty to disclose at the pleading stage.

Economic

Loss Rule

Defendant argues that Plaintiffs'

fraudulent concealment cause of action is barred by the economic loss rule under Rattagan. Specifically, the

"risk that the engine in Plaintiffs' vehicle might be defective is precisely one of the risks contemplated and allocated to [Defendant] when Plaintiff[s] accepted [Defendant's] warranty promises."

(Motion pp. 14-16.) Thus,

Plaintiffs are limited to contractual remedies only pursuant to Rattagan.

In opposition, Plaintiffs argue

that the economic loss does not apply to claims for fraudulent inducement,

regardless of whether affirmative misrepresentation or concealment is

involved. (Opp., p. 6.) Plaintiffs also argue that if were the Rattagan

test applied, the economic loss rule still does not apply to the

intentional tort alleged. (Id. at

pp. 8-10.) Further, permitting their

fraudulent concealment claim to proceed advances California public policy by

holding manufacturers accountable for concealing known defects from consumers

during the sale of vehicles. (Id. at

p. 10.)

“A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Rattagan, supra, 17 Cal.5th at 38.)

The Court finds that Plaintiffs allege fraudulent inducement based on omissions that occurred prior to the sale of the Subject Vehicle. (Complaint ¶¶ 51, 53, 57.)

To the extent alleged concealment occurred during the course of the contract, the Court finds that a party purchasing a vehicle does not bargain with the expectation that the automotive manufacturer is concealing known material defects from them. The risks of such a concealment are not allocated within the warranty. There are also public policy reasons, exclusive of the contract, for not wanting an automotive manufacturer to withhold information on such defects, including safety. As noted by the Rattagan court, public policy has viewed fraudulent concealment on equal footing with affirmative misrepresentations. (Rattagan, supra, 17 Cal.5th at 26.) These public policy reasons are exclusive of the contract, and therefore tort liability would exist in such instances of fraudulent concealment.

Accordingly, Plaintiffs' fifth cause of action is therefore not barred by the economic loss rule.

Motion to Strike

Defendant moves to strike designated portions of the Complaint on the grounds that it contains improperly pled requests for civil penalties in violation of Code of Civil Procedure (CCP) section 871.24. (MTS Notice p. 1.)

A motion to strike lies either when (1) there is “irrelevant, false or improper matter inserted in any pleading”; or (2) to strike any pleading or part thereof “not drawn or filed in

conformity with the laws of this state, a court rule or order of court.” (CCP § 436.)

“At least 30 days prior to the commencement of an action seeking civil penalties under subdivision (c) of Section 1794 of the Civil Code, the consumer shall do all of the following: (1) Notify the manufacturer of the consumer's name, the accurate Vehicle Identification Number (VIN) of the motor vehicle, and a brief summary of the repair history and problems with the motor vehicle. (2) Demand that the manufacturer repurchase or replace the motor vehicle.” (CCP § 871.24, subd. (a).) The failure to comply with the pre-lawsuit notification requirement precludes recovery of civil penalties for a Song-Beverly claim. (CCP § 871.24, subd. (h).)

Here, Plaintiffs have not alleged compliance with CCP section 871.24(a). Thus, Defendant's motion to strike allegations pertaining to civil penalties is GRANTED.

Because Plaintiffs can reasonably amend their Complaint to show compliance with CCP section 871.24(a), the Court GRANTS LEAVE TO AMEND.

Conclusion

Based on the foregoing, Defendant General Motors LLC's demurrer is OVERRULED.

Defendant General Motors LLC's motion to strike is GRANTED WITH LEAVE TO AMEND.

Plaintiffs Vanessa A. Araujo and Daniel Picazo shall file and serve a First Amended Complaint within 30 days of notice of this ruling.